

Table 9.1 Identification Guidelines

Characteristic	Discussion
Appearance	Looks like a megaphone with the base of the formation horizontal and bounded on the top by an up-sloping trendline.
Horizontal bottom support line	A horizontal, or nearly so, trendline that connects the minor lows.
Up-sloping top trendline	An up-sloping trendline bounds the expanding price series on top.
Touches	Look for at least five trendline touches, three on one trendline and two on the other.
Whitespace	Price should bounce from trendline to trendline, overwriting whitespace from the pattern.
Price action before breakout	Price sometimes moves horizontally for many months before moving outside the formation high or low.
Breakout direction	Price can break out of the pattern in either direction, but favors an upward breakout.
Volume	Trends upward most often.
Support and resistance	Follows the two trendlines into the future.